Regulatory audit and sampling materials

Minutes, signed plan, proposed revision and subsequent correspondence. Refer to the accounting and sample workbook for transaction-level figures.

Audit entrance conference note

CBP Regulatory Audit | 19 February 2025 | MIC participants: CFO, Anna Reyes, external customs adviser

The audit team stated that review of production-related additions to the entered value of IR24-6A relays would cover Laredo and El Paso entries in 2023-2024, subject to transaction universe reconciliation. MIC requested that invoices for tooling programmes and entry-level paid duties be examined separately. CBP discussed sampling as an alternative to review of all entries, with a written scope and plan to follow.

The conference also recorded that possible origin misstatements were addressed in another enforcement enquiry and might not be concluded by a sampling exercise focused on value additions.

Sampling acceptance instrument - A-2025

Text filed: 7 March 2025 | Signed: MIC VP Trade Operations on 7 March; CBP Regulatory Audit field director on 7 March

Transaction universe: IR24-6A, Laredo and El Paso, entry dates January 1, 2023 through August 31, 2024. Question audited: entered-value adjustments relating to buyer-furnished production assets or work. Thirty entry lines have been provisionally identified, with eight randomly selected lines for documented testing. The plan uses 2023 and January-August 2024 as separate annual-period strata, and projects observed value additions within each agreed stratum.

The parties accept the described sampling design and methodology for this entry universe. Individual tested adjustment amounts will be recorded and submitted through the ordinary audit workpaper review process.

Signature blocks: Michael Trent, VP Trade Operations, MIC (signed); Sharon Wells, CBP field director, Regulatory Audit (signed).

Proposed supplementary plan - B-2025

CBP sampling worksheet circulated: 19 April 2025 | Subject: September-November 2024 additional entries

The field audit team proposes seven later entries as an additional pool, with two sample selections. The same valuation issues are proposed for review. Revision B uses a new date window after August 31 and references the EC-77 and commissioning costs as matters for testing.

CBP field director signature appears dated April 19. MIC signature field is blank. MIC email on April 21: We acknowledge the agency can examine additional entries but have not accepted this as a joint amendment of the signed methodology. Please do not carry the A-2025 waiver over to new strata without distinguishing what was actually signed.

Sampling workpaper exchange

From: CBP auditor | To: MIC CFO | 17 February 2026

Our current preliminary projected unreported value is USD 128,640.40 for the A-2025 universe and USD 67,830.10 for the proposed B-2025 additional population. The figures are based on sampled relay entries and include certain assigned costs from the production-support ledgers. They are not the amount of duties or penalties, and some categories remain disputed under customs valuation law.

MIC finance reply: For the same two populations our alternative allocation totals are USD 101,330.25 and USD 41,005.60. We agree that the sample arithmetic can be checked, but not that every assessed line represents a statutory assist. We reserve substantive objections to location of design activity and whether supplier charges were already in price.

Offset review discussion

Internal MIC position document forwarded to CBP on 1 June 2026 | Item-level values in audit workbook

Finance lists five possible overpayments. Two concern entries where an amount appears twice in entered transaction value; one concerns separately identified inland freight; two are fully paid general-tariff entries for goods that might have satisfied USMCA origin. All were entered in the accounting extract as proposed credits against enforcement calculations.

CBP analyst response, June 9: We cannot treat all five proposed credits as a single category. Please identify the entry-level basis for each claim and the authority for treating it as an offset. The current worksheet does not constitute acceptance of any credit; compliance and investigative findings remain in progress.

Administrative issue-status note

CBP FP&F correspondence | 18 August 2026

The parties dispute both the commercial attribution of some programme payments and the status of the additional sampling universe. The preliminary audit worksheets remain informative but are not adopted as a final adjudication of valuation, offset eligibility, disclosure sufficiency or the extent of penalties. The parties may make legal submissions when prepenalty proceedings are initiated.

Sampling technical schedules retained with Regulatory Audit

Retained extracts supplied with the 28 October 2026 administrative production. These reproduce contemporaneous files, not later findings or legal determinations.

A-2025 — signed plan technical schedule

CBP Regulatory Audit selection schedule appended to signed 7 March 2025 instrument | Technical file: RA-25/A-S1

The 30-entry A universe includes 15 lines in calendar 2023 and 15 lines entered January–August 2024. Simple random selection without replacement within each annual-period stratum was used for the provisional assigned-value uplift estimator; the recorded study variable is estimated omitted value per sampled entry. The eight observed entries and stratum identifiers appear in the native auditor workpaper. At the calculation stage, each stratum's observed-dollar sum is multiplied by its expansion ratio, population count N divided by number of examined lines n. Projected dollars are rounded to cents only after the stratum expansion.

The selection schedule and cost worksheets are maintained in separate internal audit registers. The company and field team exchanged the observed-value classifications independently of the sampling schedule.

Stratum	Frame	N	Selected lines	n	Expansion
A23	E01–E15	15	E04, E06, E09	3	5
A24	E16–E30	15	E17, E21, E25, E27, E30	5	3

B-2025 — proposed extension selection schedule

CBP Regulatory Audit worksheet sent 19 April 2025 | Technical file: RA-25/B-DRAFT

The seven-entry extension was divided into an initial EC-77 dispatch cell E31–E34 (B1) and a later dispatch cell E35–E37 (B2). The draft selects E32 and E35, one observed entry per cell, and applies the same simple within-cell expansion arithmetic. The schedule was circulated for negotiation. It accompanies the B-2025 form signed by the CBP field director but bearing no MIC management signature.

The field team circulated its working B estimate in the April exchange. MIC personnel returned the draft form unsigned, with questions regarding the added entries and supporting cost classifications. The reviewer retained the proposal in the file.

Cell	Frame	N	Sample	n	Expansion
B1	E31–E34	4	E32	1	4
B2	E35–E37	3	E35	1	3

Record location. The original observed-dollar allocations are in the financial workpapers, *auditor_sample_lines* and *sample_cost_detail*. The complete 37-entry frame and its population labels are in *audit_entry_frame*. The computational summary used in the February 2026 exchange is in *projection_review*.